After exploring housing, transportation, and food, it pays to take a closer look at other areas of spending. David Bach popularized the concept of the “latte factor” in his bestselling book *The Automatic Millionaire*. He used it to demonstrate the impact of small recurring expenses over time. There’s no need to give up your latte, or anything else you value for that matter, to *Choose FI*. You have the most effect on spending by focusing on your largest expenses. However, it is important to understand the impact of seemingly small recurring expenses that add up over time. More importantly, you also lose compounding that occurs over years if this money is not saved and invested.

Tracking expenses shows exactly where your money is going, allowing you to know where to direct efforts for maximum impact. First, look for areas where spending does not add value to your life. This makes it easy to save without sacrifice. Finding recurring expenses you can cut allows you to make a decision one time and reap ongoing benefits.

Most will find at least three areas to cut recurring spending while improving quality of life: insurance, cable TV, and cell phones. Those who *Choose FI* consistently spend less than those on the standard path in these areas. Let’s explore them and demonstrate